II ASSETS	
1. Non-current assets	
Fixed assets	8,00,000
2. Current assets	
(a) Inventories	1,20,000
(b) Trade receivables	2,65,000
(c) Cash and cash equivalents	10,000
(d) Other current assets	
Expenses paid in advance	5,000
Total	**12,00,000**

(Answer: (i) Debt-equity ratio: 0.5:1; (ii) Proprietary ratio:0.5:1; (iii) Capital gearing ratio: 1.25:1)

Turnover ratios

8. From the given information calculate the inventory turnover ratio and inventory conversion period (in months) of Devi Ltd.

Particulars	₹
Revenue from operations	12,00,000
Inventory at the beginning of the year	1,70,000
Inventory at the end of the year	1,30,000
Purchases made during the year	6,90,000
Carriage inwards	20,000

(Answer: Inventory turnover ratio: 5 times; Inventory conversion period: 2.4 months)

9. The credit revenue from operations of Velavan Ltd, amounted to ₹ 10,00,000. Its debtors and bills receivables at the end of the accounting period amounted to ₹ 1,10,000 and ₹ 1,40,000 respectively. Calculate trade receivables turnover ratio and also collection period in months.

(Answer: Trade receivables turnover ratio: 4 times; Debt collection period: 3 months)

10. From the following figures obtained from Arjun Ltd, calculate the trade payables turnover ratio and credit payment period (in days).

Particulars	₹
Credit purchases during 2018 – 2019	9,50,000
Trade creditors as on 1.4.2018	60,000
Trade creditors as on 31.3.2019	50,000
Bills payable as on 1.4.2018	45,000
Bills payable as on 31.3.2019	35,000

(Answer: Trade payables turnover ratio: 10 times; Credit payment period: 36.5 days)

11. From the following information of Geetha Ltd., calculate fixed assets turnover ratio
(i) Revenue from operations during the year were ₹ 55,00,000.
(ii) Fixed assets at the end of the year ₹ 5,00,000.

(Answer: Fixed assets turnover ratio: 11 times)

12. Calculate (i) Inventory turnover ratio (ii) Trade receivables turnover ratio (iii) Trade payables turnover ratio and (iv) Fixed assets turnover ratio from the following information obtained from Aruna Ltd.

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